

Investor Pre-LOI Construction Risk Checklist

The construction-side risks you should price into your offer BEFORE the LOI — from a licensed NC General Contractor. Use this to underwrite the deal at construction reality, not seller-presented condition.

Certified by

Asher Borden · Southern Cities Construction LLC · NC GC License #107724

How to use this checklist

Most investor due diligence catches the OBVIOUS construction risks (roof age, HVAC age, foundation cracks). The expensive surprises live in the items below — the ones that don't show up until earnest money is hard or until the work starts. Use this BEFORE submitting an LOI so the price reflects what the rehab will actually cost.

Section 1 — Building envelope risks

Risk Item	Detection	Typical Cost Impact
Roof underlayment failure	Only visible during replacement — assume worst-case if roof is 20+ yrs	\$3K–8K above shingle cost
Sheathing rot	Visible at fascia/eaves — bring binoculars	\$1.5K–6K per slope
Soft-spot subfloor	Walk every room — note bounces or sloping	\$2K–8K per room
Hidden water staining	Behind appliances, under sinks, near washer hookups	\$500–4K per location
Original window seals failed (between panes)	Look for condensation between panes — common in 15+ yr vinyl	\$400–1,200 per window
Termite/pest history (treated or active)	Mud tubes, hollow wood-test foundation rim joists	\$3K–12K + ongoing treatment

Section 2 — Hidden major-system risks

Risk Item	Detection	Typical Cost Impact
Galvanized supply lines (whole-house)	Check basement/crawlspace — look for grey vs copper at fixtures	\$8K–18K full repipe
Polybutylene plumbing (grey plastic, 1980s-90s)	Check at hot water heater — looks like grey hose	\$8K–15K full repipe

Cast iron drain lines past useful life	Scope or visual inspection — assume worst if 50+ yrs	\$5K–15K replacement
Aluminum electrical wiring (1965-1972 builds)	Check at panel — silver-colored conductors	\$4K–10K remediation
Federal Pacific / Zinsco panel (fire risk)	Check brand on panel cover	\$2.5K–5K replacement
Old ductwork in crawlspace (compromised)	Insulation falling off, leak-points, asbestos in old wrap	\$3K–10K replacement

Section 3 — Foundation + structural

Risk Item	Detection	Typical Cost Impact
Active foundation movement	Recent crack progression — measure once, photo for re-measure	\$8K–40K+ per issue
Pier/post settlement (crawlspace)	Walk crawlspace — note posts NOT plumb or making contact	\$1.5K–5K per post
Crawlspace moisture/standing water	Drainage issue or ground moisture — long-term rot risk	\$3K–12K mitigation
Termite damage to sill plate	Check exposed rim joists in crawlspace	\$4K–15K
Roof structure sag	Walk attic — note sagging rafters or trusses	\$8K–25K
Engineered I-joist deflection	Walk the floor — note flex on long spans	\$5K–18K

Section 4 — Compliance + permit risk

Items investors regularly miss	
■	Pre-2000 additions without permits — discoverable at closing, blocks resale and financing
■	Pre-2008 electrical work without permits — required to bring to code on remodel
■	Pre-2003 plumbing work without permits — same issue
■	Septic system age + last pump date — if 25+ yrs without records, assume replacement
■	Well water quality test history — required for FHA/VA financing
■	Lead paint disclosure (pre-1978 builds) — required disclosure + remediation if rehab disturbs
■	Asbestos popcorn ceiling / wall insulation (pre-1980) — abatement required on any disturbance
■	Underground oil tank — discoverable on title, \$1,500–15K to decommission and clean

Section 5 — Rehab budget reality check

Rule-of-thumb that catches investors offside on residential rehabs in NC:

Rehab scope	Realistic \$/sqft	Common underestimate
Cosmetic flip	\$25–45	Investors budget \$15–25 — short by ~50%
Light major (kitchen+bath+paint)	\$45–75	Budgeted \$30–45 — short by ~40%
Full gut (down-to-studs)	\$110–180	Budgeted \$75–100 — short by ~50%
Addition (new SF)	\$180–280	Budgeted \$125–175 — short by ~40%
Ground-up SFR	\$200–325	Budgeted \$150–220 — short by ~30%

Section 6 — Walk-away triggers (pre-LOI)

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- Multiple major systems all at end of life simultaneously (roof + HVAC + plumbing + electrical)
- Foundation movement that hasn't been stabilized OR has been stabilized without records
- Past water intrusion that wasn't professionally remediated
- Unpermitted additions disclosed but not in title
- Property in flood zone without flood insurance and no elevation certificate
- Septic system with no records and visible drain-field problems
- Aluminum wiring + Federal Pacific panel combination
- Active mold visible in HVAC ductwork or wall cavities

When you want a licensed GC's read on a specific deal

Southern Cities offers an Investor Deal Review — a licensed NC GC reads your specific deal pre-LOI and tells you the construction-side risk, rough budget range, walk-away triggers, and recommended offer adjustments. \$499, 2-business-day turnaround. Or bundle 4 reviews in the Due Diligence Bundle for \$1,499.

→ [Book at southerncitiesconstruction.com/lp/investor-deal-review](https://southerncitiesconstruction.com/lp/investor-deal-review)